QVM Compass — Strategy Reference

Laura Gao portfolio · WInS (StockTrak) · Wharton Global High School Investment Competition 2026–27 · as of 23 October 2026

How to use this document. This is the single reference for the whole team: the plan, what is invested and what is still to buy, how the money is spread, every rule and parameter, the stock list, and the plan to 2042. Prices are reference values from 23 October 2026; always check the live WInS price before an order.

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1 The plan in brief

- Laura's money is split by job. Safe money (US Treasury bonds) pays ten $50,000 operating payments, January 2033 to January 2042. Growth money builds the facility contribution due January 2033.
- Safe money is never used to buy stocks and every bond is held until it pays out.
- Growth money holds only three things: the iShares India 50 ETF (INDY), individual stocks chosen by the QVM rules, and cash.
- Stocks are screened, scored (Quality 40%, Value 30%, Momentum 30%), bought only when four entry rules pass, sized so one stock risks 1.25% of the growth money, and sold only by written exit rules.
- Risk falls on a fixed schedule: one-third of the growth money moves to cash in January 2031, half of the rest in January 2032.

2 Money map

Bucket	Holds	Approx. value	Share of account
Operating reserve	6 US Treasury bonds maturing Feb 2036 – Nov 2041	$245,000	82.5%
Growth: India	INDY (iShares India 50 ETF)	$16,660	5.6%
Growth: stocks	15 QVM stocks, once every planned order is placed	$33,370	11.2%
Growth: cash	Cash left after all orders	$1,800	0.6%
Total	WInS showed $299,813 on 22 Oct	≈ $297,000	100%

Growth bucket used for sizing = INDY value + cash + stocks at market = **$52,255**. After all orders it splits about INDY 32% · stocks 64% · cash 4%.

3 What we own and what is still to buy

3.1 Already held

Holding	Quantity	Value or cost	Note
Treasury ladder	6 bonds	≈ $245,000	Exact bonds and quantities: WInS Open Positions
INDY	see WInS	≈ $16,660 at $41.34	
Micron (MU)	2 shares	≈ $1,770 at $885.10	Confirm the actual fill price

Cash before the stock orders: **$35,595.62**. After Micron: about $33,800.

3.2 Treasury bonds we own (the operating reserve)

Bond (coupon · maturity)	Units	WInS price 13 Oct	Cost incl. accrued	Face value	Yield to maturity	Pays for	Plan
4.500% · 15 Feb 2036	≈ 7 (confirm)	$1,029.50	≈ $7,200	≈ $7,000	4.1%	Extra cover for Jan 2037	Hold to maturity
4.750% · 15 Feb 2037	38	$965.00	$36,952	$38,000	5.19%	Jan 2037	Sell 1 Jan 2037, 45 days before maturity
4.500% · 15 May 2038	86	$936.01	$81,101	$86,000	5.24%	Jan 2038 and Jan 2039	Sell 1 Jan 2038; keep the rest as cash for 2039
4.625% · 15 Feb 2040	45	$914.52	$41,478	$45,000	5.54%	Jan 2040	Sell 1 Jan 2040, 45 days before maturity
4.250% · 15 Nov 2040	46	$883.22	$41,426	$46,000	5.45%	Jan 2041	Hold to maturity
3.125% · 15 Nov 2041	48	$755.07	$36,856	$48,000	5.54%	Jan 2042	Hold to maturity
Five model bonds	263		$237,814	$263,000	5.37% avg		WInS total with all six: ≈ $245,000

- Units for the five model bonds come from the 13 October planning model. WInS shows six bonds worth about $245,000; the sixth is the February 2036 issue, the only WInS bond maturing then. **Confirm every quantity against WInS Open Positions.**
- Interest: about $11,200 a year from the five model bonds (plus about $300 from the 2036 bonds), paid every six months from 15 November 2026 and saved in SGOV inside the reserve. None arrives before the 6 November freeze.
- We hold the bonds for the payments, so WInS price moves are paper only: a 1-point rise in yields shows about a $21,000 loss on screen, which disappears as the bonds mature.
- Reserve check from the planning model: every payment is paid in full even if saved interest earns 0%, and even if yields are 3 points higher when the three bonds are sold early. The lowest cash left after any payment is about $1,500.

3.3 ETFs we own and plan to use

ETF	Ticker	Status	Job	Units	Price	Value
iShares India 50 ETF	INDY	Held	Growth: India’s 50 largest companies. Fee 0.89% a year; P/E about 20; 52-week range $39.90–$54.13	≈ 403 (confirm)	$41.34 (23 Oct)	≈ $16,660
iShares 0–3 Month Treasury Bond ETF	SGOV	Planned from Nov 2026	Holds saved bond interest inside the reserve; from 2031 also holds the facility cash	as interest arrives	$100.52 (12 Oct)	
iShares iBonds Dec 2033 Term Treasury	IBTO	Planned Jan 2028	Pays out Dec 2033 for the Jan 2034 payment	196	$23.00 (12 Oct)	≈ $4,500
iShares iBonds Dec 2034 Term Treasury	IBTP	Planned Jan 2028	Pays out Dec 2034 for the Jan 2035 payment	1,394	$24.07 (12 Oct)	≈ $33,400
iShares iBonds Dec 2035 Term Treasury	IBTQ	Planned Jan 2028	Pays out Dec 2035 for the Jan 2036 payment	1,478	$23.67 (12 Oct)	≈ $34,800
iShares iBonds Dec 2032 Term Treasury	IBTM	Jan 2028, only if yield ≥ 4.5%	Pays out Dec 2032: a safety floor for the facility contribution	1,422	$21.76 (12 Oct)	≈ $30,800

INDY units are estimated from its value; confirm in WInS. The iBonds share counts are the planning model’s base case for January 2028 and will be recalculated at the prices then.

3.4 Orders still to place

Date · market	Ticker	Exchange	Shares	Order	Ref. price	≈ USD	Stop	Tranche / condition
Fri 23 Oct · US/Canada	NVDA	Nasdaq	10	Market	$211.70	$2,117	30%	full
Fri 23 Oct · US/Canada	ADBE	Nasdaq	8	Market	$265.20	$2,122	30%	full
Fri 23 Oct · US/Canada	ULTA	Nasdaq	4	Market	$620.27	$2,481	25%	full
Fri 23 Oct · US/Canada	APA	Nasdaq	42	Market	$51.74	$2,173	30%	full
Fri 23 Oct · US/Canada	META	Nasdaq	3	Market	$644.61	$1,934	30%	full · only if above MA200
Fri 23 Oct · US/Canada	INCY	Nasdaq	11	Market	$115.65	$1,272	25%	1 of 2
Fri 23 Oct · US/Canada	EXEL	Nasdaq	20	Market	$64.85	$1,297	25%	1 of 2
Fri 23 Oct · US/Canada	PAYC	NYSE	8	Market	$274.97	$2,200	30%	full
Fri 23 Oct · US/Canada	CF	NYSE	18	Market	$121.46	$2,186	30%	full
Fri 23 Oct · US/Canada	MSCI	NYSE	4	Market	$614.39	$2,458	25%	full
Fri 23 Oct · US/Canada	ATZ	Toronto (TSX)	20	Market	C$154.78	$2,211	30%	full
Mon 26 Oct · Tokyo	6532	Tokyo (TSE)	30	Limit at ask	¥11,500	$2,199	30%	full
Mon 26 Oct · Stockholm	EVO	Nasdaq Stockholm	26	Limit at ask	SEK 841.40	$2,201	30%	full
Mon 26 Oct · Oslo	VAR	Oslo Børs	345	Limit at ask	NOK 58.94	$2,179	30%	full
Fri 30 Oct · US	INCY	Nasdaq	11	Market	$115.65	$1,272	25%	2 of 2 · after 29 Oct results, rules still pass
Fri 30 Oct · US	EXEL	Nasdaq	20	Market	$64.85	$1,297	25%	2 of 2 · after 29 Oct results, rules still pass

US and Canada: market orders in regular hours, not in the first 30 minutes and at least 15 minutes before the close (before 1:15 am IST). Foreign exchanges: limit order at the WInS ask. If the live price is more than 2% above the reference price, recompute the shares first.

3.5 Cash plan

Step	Stocks	Commissions	Cash left
Start			$35,595.62
Micron (done)	≈ $1,770	$25	≈ $33,800
Fri 23 Oct · 11 orders	≈ $22,450	$275	≈ $11,075
Mon 26 Oct · 3 orders	≈ $6,579	$75	≈ $4,420
Fri 30 Oct · 2 orders	≈ $2,569	$50	≈ $1,800

Trades: 7 used before stocks + 17 stock orders = 24 of the 200 allowed. Commission is $25 per trade; a stop order costs $25 only if it executes (confirm in WInS).

4 Diversification

4.1 By sector (share of the stock money)

Sector	Stocks	Share	Limit
Consumer Discretionary	Aritzia, Evolution, Ulta Beauty	20.7%	≤ 30%
Information Technology	Micron, NVIDIA, Adobe	18.0%	≤ 30%
Health Care	Incyte, Exelixis	15.4%	≤ 30%
Industrials	Paycom, BayCurrent	13.2%	≤ 30%
Energy	APA, Vår Energi	13.0%	≤ 30%
Financials	MSCI	7.4%	≤ 30%
Materials	CF Industries	6.6%	≤ 30%
Communication Services	Meta	5.8%	≤ 30%

4.2 By country

Country	Holdings
United States	11 stocks
Canada	1 stock (Aritzia)
Sweden	1 stock (Evolution)
Norway	1 stock (Vår Energi)
Japan	1 stock (BayCurrent)
India	50 companies through INDY

4.3 Limits and where we stand

- At most 2 stocks per industry. At the limit: semiconductors (Micron, NVIDIA), biotechnology (Incyte, Exelixis), oil and gas (APA, Vår Energi), professional services (Paycom, BayCurrent).
- At most 3 stocks on one theme. AI: Micron, NVIDIA, Meta = 3 (at the limit).
- At most 6% of the growth money in one stock at cost. Largest: Exelixis at about 5.0%.

5 Rules

5.1 Universe

- Every company worth at least $10 billion (USD) listed on an exchange WInS allows (41 exchanges), except Moscow.
- One line per company: its home listing; use the US ADR if the home exchange is not on WInS. Common shares and depositary receipts only.
- Excluded: banks, insurers, REITs, consumer lenders and brokers (their accounts make our ratios misleading); leveraged or inverse products, SPACs, OTC listings and anything WInS restricts.
- Minimum share price $3 (WInS rule; see open decision D4).

5.2 Quality gate (all five must pass)

Gate	Test
G1 Investable	Market value ≥ $10B, price ≥ $3, at least 5 years of financial statements, not an excluded sector
G2 Profitable	Return on invested capital (last 12 months; last fiscal year if blank) ≥ 10%, and net income positive in at least 4 of the last 5 fiscal years
G3 Solvent	Operating income ÷ interest expense (last fiscal year) ≥ 8×; if blank, debt ÷ EBITDA ≤ 1.5
G4 Cash-generative	Free cash flow positive in at least 4 of the last 5 fiscal years
G5 Growing	5-year revenue growth ≥ 0% a year, in the company’s own currency

No data, no trade: a blank or unverifiable gate input fails the gate.

5.3 Scoring (pool = every company that passes the gate on the run date)

ID	Pillar	Metric	How it is calculated	Better
Q1	Quality	Return on capital	ROIC, last 12 months (last fiscal year if blank)	Higher
Q2	Quality	Gross profitability	Gross margin % × asset turnover ÷ 100	Higher
Q3	Quality	Revenue growth	5-year revenue growth a year, in USD	Higher
V1	Value	Free-cash-flow yield	100 ÷ (price ÷ free cash flow per share)	Higher
V2	Value	Earnings yield	100 ÷ P/E	Higher
V3	Value	P/E vs its own history	(P/E − 5-year low) ÷ (5-year high − 5-year low)	Lower
M1	Momentum	12-1 month momentum	((1 + 52-week return) ÷ (1 + 30-day return) − 1) × 100, in USD	Higher
M2	Momentum	Trend strength	(price ÷ 200-day average − 1) × 100	Higher

- **Percentile:** rank each metric 0–100 across the pool (ties share the average rank). For “lower is better”, use 100 minus the rank. A blank metric is skipped, never guessed.
- **Pillar score** = average of that pillar’s available percentiles. **QVM** = 0.40 × Quality + 0.30 × Value + 0.30 × Momentum.
- **Expected return** = free-cash-flow yield + the lower of 3-year and 5-year revenue growth, kept between 0% and 10% (all in USD). It is a filter, not a forecast.
- **Hurdle** = US 10-year Treasury yield + 3.5 points (5.13% + 3.5 = 8.63% on 23 October).
- **Volatility** = standard deviation of 60 monthly returns. Above 0.10 = volatile (30% stop).

5.4 Entry rules (all four must pass on the order day)

Rule	Test	If it fails
E1 Score	QVM ≥ 60 and every pillar ≥ 25	Not now; re-check at the next quarterly re-score
E2 Price	Expected return ≥ hurdle	Reject: too expensive
E3 Trend	Price above its 200-day average	Watchlist; buy when it closes back above
E4 Market	Market light not RED	YELLOW = half size (Phase 2: no new buys); RED = no new buys

5.5 Position sizing

risk per stock = growth money × 1.25% (= $653 at $52,255)

position = risk ÷ stop % → 25% stop: $2,613 · 30% stop: $2,177

shares = position ÷ price in USD, rounded to whole shares · YELLOW light: half size · cap: 6% of growth money at cost

- **Earnings rule:** if the company reports within 5 trading days, buy half now. Buy the second half on the later of (a) the first trading day after the report and (b) 5 trading days after the first half, only if the four entry rules still pass and no sell trigger fired.
- **Adding** to a stock is a new buy: all four entry rules again. Never add below the 200-day average.

5.6 Execution

Item	Rule
US and Canada buys	Market order in regular hours, not in the first 30 minutes, at least 15 minutes before the close
Foreign buys	Limit order at the current WInS ask, valid for the day, after the first 30 minutes of that exchange
Price check	If the price is more than 2% above the reference, recompute shares first
Stop order	Right after each buy fills: Sell (never Sell Short) · Stop · all shares · stop price = fill × 0.75 (normal) or × 0.70 (volatile) · Good Till Cancelled
After a second half	Cancel the old stop; place a new stop for all shares at average cost × 0.75
Not used	Stop-limit and trailing-stop orders
Trading note	Required on every trade, under 300 characters, no expected-return figures. Pattern: BUY {shares} {ticker}: QVM {score} (Q/V/M). {why}. Grows Laura’s facility money. Stop order {25 or 30}% below cost. Sell if {sell trigger}.

5.7 Exit rules (any one triggers a sale)

Rule	Trigger	Action
X1 Thesis break	A sell trigger for that stock happens (section 7.3)	Sell all within 5 trading days
X2 Score decay	QVM below 35 at the quarterly re-score (35–60: hold, no adds)	Sell all
X3 Valuation	Expected return below Treasury + 1 point / below the Treasury yield	Sell half / sell all
X4 Hard stop	Standing stop order 25% (30% if volatile) below average cost	Sells automatically
X5 Trend break	Month-end close below the 200-day average AND 12-1 momentum negative	Sell half; if still true next month-end, sell the rest
X6 Too big	Position above 8% of the growth money	Trim to 6%
X7 Better idea	A new stock passes all entry rules and scores 15+ points above the weakest holding	Swap (at most 2 swaps a quarter)
X8 Laura's timeline	Glide-path date (2031, 2032) or a Phase-2 RED light	Trim lowest-QVM stocks first; move money to SGOV (T-bill fund)
Re-buy lockout	Stock sold under X4 or X5	May re-buy only after 3 months and only if all entry rules pass

Not reasons to sell: a bad day or week, a scary headline that is not a sell trigger, other teams' picks, or "it feels expensive" when X3 has not fired.

5.8 Market light (S&P 500 via SPY)

Light	Condition	Phase 1 (now – Dec 2030)	Phase 2 (Jan 2031 – Dec 2032)
GREEN	SPY closes above its 200-day average	Normal buying	Normal buying
YELLOW	A daily close below, not yet confirmed at month-end	New buys at half size	No new buys
RED	Month-end close below the 200-day average	No new stock buys; holdings follow their own rules	Cut the stock money by 50% (weakest QVM first) into SGOV; buy back after one month-end above

23 October 2026: **GREEN** (SPY $760.89 vs 200-day average $726.65).

6 Parameters

Numbers may change only at the January review, inside the allowed range, with a change-log entry (date, old → new, reason, who approved). Never to rescue a position.

ID	Parameter	Value now	Allowed range	Changed
P1	Minimum market value	$10B	$5–20B	
P2	Minimum return on capital	10%	8–12%	
P3	Minimum interest cover	8× (fallback debt/EBITDA ≤ 1.5)	5–10×	
P4	Pillar weights Q / V / M	40 / 30 / 30	each 20–50	
P5	Buy score	QVM ≥ 60, every pillar ≥ 25	55–70 / 20–30	
P6	Sell score	QVM below 35	30–40	
P7	Premium over 10y Treasury	3.5 points	3–5	
P8	Growth cap in expected return	10%	8–12%	
P9	Trend filter	200-day average	150–250 days	
P10	Risk per stock	1.25% of growth money	0.75–1.25%	23 Oct 2026, was 1%
P11	Hard stop	25%; 30% if monthly SD > 0.10	20–35%	
P12	Position cap / trim	6% at cost / trim above 8%	5–10%	
P13	Concentration	Sector ≤ 30%; ≤ 2 per industry; ≤ 3 per theme	25–35%	
P14	Number of stocks	15	6–20	23 Oct 2026, was 10
P15	Swap margin	+15 points; max 2 swaps a quarter	10–20	

ID	Parameter	Value now	Allowed range	Changed
P16	Valuation exit	Treasury + 1 pt (half) / Treasury (all)	0–2 points	
P17	Phase 2 start	January 2031	fixed	
P18	Phase-2 RED cut	50% of the stock money	33–100%	
—	Growth money instruments	INDY + individual stocks + cash only	—	23 Oct 2026

7 Stock list, scores and sell triggers

Sorted by QVM score. Scores come from the 23 October 2026 run of every company worth $10B+ on WInS exchanges (1,916 companies → 457 passed the gate → 35 passed all entry rules).

7.1 Where and how much

Ticker	Company	Exchange · country	Ccy	Sector	Industry	Stop	Shares
MU	Micron Technology	Nasdaq · US	USD	Information Technology	Semiconductors	30%	2
EXEL	Exelixis	Nasdaq · US	USD	Health Care	Biotechnology	25%	40 (2 halves)
INCY	Incyte	Nasdaq · US	USD	Health Care	Biotechnology	25%	22 (2 halves)
NVDA	NVIDIA	Nasdaq · US	USD	Information Technology	Semiconductors	30%	10
VAR	Vår Energi	Oslo Børs · Norway	NOK	Energy	Oil & Gas E&P	30%	345
EVO	Evolution AB	Nasdaq Stockholm · Sweden	SEK	Consumer Discretionary	Casinos & Gaming	30%	26
ATZ	Aritzia	Toronto (TSX) · Canada	CAD	Consumer Discretionary	Apparel Retail	30%	20
ADBE	Adobe	Nasdaq · US	USD	Information Technology	Software	30%	8
ULTA	Ulta Beauty	Nasdaq · US	USD	Consumer Discretionary	Specialty Retail	25%	4
PAYC	Paycom Software	NYSE · US	USD	Industrials	Professional Services	30%	8
APA	APA Corporation	Nasdaq · US	USD	Energy	Oil & Gas E&P	30%	42
CF	CF Industries	NYSE · US	USD	Materials	Chemicals (Fertilizers)	30%*	18*
6532	BayCurrent	Tokyo (TSE) · Japan	JPY	Industrials	Professional Services	30%	30
MSCI	MSCI Inc.	NYSE · US	USD	Financials	Capital Markets (Financial Data)	25%	4
META	Meta Platforms	Nasdaq · US	USD	Communication Services	Interactive Media	30%	3

* CF volatility is borderline (about 0.104). If WInS shows 0.10 or less: 25% stop and 21 shares.

7.2 Scores

Ticker	QVM	Q	V	M	Exp. ret.	Monthly SD	Next results	Why it is in
MU	91.6	97	82	93	15.8%	0.196	2026-12-23 (est.)	Memory chips for AI. Top score; sales tripled in a year
EXEL	86.2	91	78	88	17.0%	0.093	2026-10-29 (after close)	Cancer medicines. No debt; P/E at the bottom of its 5-year range
INCY	79.7	82	85	72	18.0%	0.076	2026-10-29 (before open)	Blood-cancer medicines. Revenue up 21% in 2025 at a low P/E
NVDA	73.6	100	51	62	12.5%	0.145	2026-11-17	AI chips. Top quality score in the screen
VAR	72.9	53	83	89	21.7%	0.102	reported 2026-10-21	Offshore oil and gas. 20% FCF yield and big dividends
EVO	71.9	63	77	79	18.2%	0.103	reported 2026-10-23	Live online casino games. Very high margins at a low P/E
ATZ	70.5	86	45	75	13.7%	0.132	2027-01-07 (est.)	Women's fashion brand. Sales up 35%, growing in the US
ADBE	69.6	84	87	33	20.1%	0.113	2026-12-09	Design and PDF software. Strong, cheap, subscription cash
ULTA	68.2	81	57	62	10.9%	0.094	2026-12-03	Biggest US beauty retailer. Steady shoppers balance the chip stocks
PAYC	67.9	73	53	76	14.5%	0.131	2026-11-04 (after close)	Payroll software. Recurring revenue, almost no debt
APA	65.9	46	65	93	11.4%	0.126	2026-11-04 (after close)	US, Egypt, North Sea oil and gas. 11.4% FCF yield; inflation hedge
CF	65.7	52	82	67	10.3%	0.104	2026-11-04	Nitrogen fertiliser. Adds a new sector, strong cash flow
6532	65.4	90	25	72	12.2%	0.135	2027-01-14 (est.)	Business consulting. 40% ROIC; adds Japan
MSCI	62.3	78	51	52	13.5%	0.078	reported 2026-10-20	Stock-market indexes. Recurring fees, calm stock
META	60.9	78	52	46	11.7%	0.124	reported 2026-10-21	Facebook, Instagram, WhatsApp. Huge cash from ads

7.3 Sell triggers (rule X1)

Ticker	Sell if
MU	revenue falls two quarters in a row; gross margin below 60%; guidance cut by more than 15%
EXEL	CABOMETYX revenue falls two quarters in a row; zanzalintinib fails Phase 3; US generics allowed before 2031
INCY	total revenue falls year on year; guidance cut; newer products stop growing
NVDA	data-centre revenue falls quarter on quarter twice; gross margin below 65%
VAR	dividend cut; 2026 output below 390,000 boe/d; FCF yield below 8% at a re-score
EVO	revenue keeps falling year on year; EBITDA margin below 60%
ATZ	fiscal 2027 revenue guidance cut below C$4.4B; a quarter grows less than 10%
ADBE	revenue growth below 5%; subscription revenue falls
ULTA	comparable sales fall two quarters in a row
PAYC	revenue growth below 7%; full-year guidance cut
APA	realised US oil price below $65/bbl; debt above 1.5x EBITDA; dividend cut
CF	free cash flow negative for two quarters; dividend cut
6532	revenue growth below 10%; guidance cut
MSCI	revenue falls year on year
META	ad revenue falls year on year; free cash flow turns negative

7.4 Alternates and watchlist

- **Alternates** (if a pick fails its order-day check): WuXi AppTec (603259, Shanghai, QVM 72.6) · Zoom (ZM, 68.5) · Next plc (NXT, London, 67.9) · Wolters Kluwer (WKL, Amsterdam, 61.4; BayCurrent's replacement if Tokyo refuses fewer than 100 shares) · Aena (AENA, Madrid, 60.0). Halozyme (HALO, 71.4) would break the 2-per-industry limit for biotech.
- **Watchlist** (fail only the trend rule E3): Harmony Gold (HMY) 72.2 · AngloGold Ashanti (AU) 71.8 · Lundin Gold (LUG) 71.5 · Samsung (005930) 66.7 · Neurocrine (NBIX) 64.7 · Alphabet (GOOG) 64.5 · Kweichow Moutai (600519) 64.2.

8 The next $150,000 (January 2028) and the road to 2042

Laura's second contribution of $150,000 arrives at the start of 2028 (first trading day: Monday 3 January 2028). It is not part of WInS. This is the written rule we will follow, so the decision is made today, not in a hurry later.

8.1 The rule, in order

Step	Test	Action
1 Finish the reserve	Always, and always first	Buy IBTO, IBTP and IBTQ so the 2034, 2035 and 2036 payments are locked
2 Safety floor	Only if IBTM (Dec 2032 Treasury fund) yields at least 4.5%	Put 40% of what is left into IBTM. It pays out in December 2032, just before the facility contribution is due
3 Growth	Always	Split the rest: 70% into stocks picked by the QVM rules, 30% into INDY

8.2 Exactly what we buy (base case: yields unchanged until January 2028)

Step	Ticker	What it does	Assumed price	Shares	Cost
1	IBTO	Pays out Dec 2033 → Jan 2034 payment	$22.92	196	$4,492
1	IBTP	Pays out Dec 2034 → Jan 2035 payment	$23.98	1,394	$33,431
1	IBTQ	Pays out Dec 2035 → Jan 2036 payment	$23.58	1,478	$34,847
1		Commissions (3 orders)			$75
2	IBTM	Pays out Dec 2032 → floor for the facility; worth about $38,711 at payout	$21.69	1,422	$30,865 incl. $25
3	Stocks	Same QVM rules (see 8.4)			$32,402
3	INDY	Keeps India at about one-third of the growth money			$13,887
	Total				$150,000

8.3 If interest rates change by January 2028

Scenario	Step 1 reserve	IBTM yield	Step 2 floor	Step 3 stocks	Step 3 INDY
Base: yields unchanged	$72,771	5.08%	$30,840	$32,402	$13,887
Yields fall 3 points	$88,034	2.08% (below 4.5%)	skipped	$43,324	$18,567
Yields rise 1 point	$68,390	6.08%	$32,604	$34,235	$14,672

Worst case tested: yields fall 4 points and step 1 costs $93,930, still inside the $150,000. In the model's 100,000-path simulation the floor is bought in about 72% of paths. The reserve is finished first in every case.

8.4 How the stock money is invested in January 2028

- January 2028 is also our yearly review: re-score the whole universe with the same gate, scores and entry rules.
- The growth money is larger, so each stock's target size grows. Risk stays 1.25% per stock with the same 25% or 30% stops. Example: with about $100,000 of growth money, a volatile stock's target is about $4,200 and a normal one about $5,000.
- First, top up holdings that still pass all four entry rules to their new target size. A top-up counts as a new buy, so all four rules must pass.
- Then replace any holding that fails a rule with the best qualifier in a sector that has room (15 stocks, 30% per sector, 2 per industry, 3 per theme).

- Money the rules cannot place follows open decision D1 (cash until decided).

8.5 Glide path and payments

Date	Action
Jan 2031	Laura gives her co-sponsors a contribution range. Move one-third of stocks + INDY into SGOV (T-bill fund).
Jan 2032	Move half of the remaining stocks + INDY into SGOV.
Dec 2032	IBTM pays out (if bought): cash for the facility contribution.
Jan 2033	Operating payment 1 and the facility contribution. Keep a $50,000 flexibility buffer invested.
Jan 2034 – Jan 2042	One $50,000 payment each January from maturing bonds and bond funds.

Payment years	Paid by
2033 and part of 2034	Bond interest saved every year in SGOV
2034 – 2036	IBTO, IBTP, IBTQ bought in January 2028
2037 – 2042	The Treasury bonds held now

8.6 What the planning model expects for the facility contribution

Case (model assumptions)	Contribution in Jan 2033, after keeping $50,000
Base: stocks 8.5% a year, Nifty 8%	$149,717
Low returns: stocks 5%, Nifty 3%	$124,290
High returns: stocks 11%, Nifty 12%	$171,346
Crash just before 2033: stocks −40%, Nifty −50%	$125,385
Everything goes wrong at once	$80,316
Simulation, 80% of paths	$83,098 to $230,780 (median $140,607)

From the 13 October planning model, run before the final allocation (more in bonds, less in INDY and stocks than modelled). Rerun the model with the final holdings before using these figures with co-sponsors. In every case all ten payments are paid in full.

9 Review calendar

When	What to check
Every Monday (10 min)	Market light · any stock within 5% of its stop · news vs sell triggers · results due this week
First trading day of each month	Month-end market light · X5 trend check · weights vs X6 and the sector limits
After each results season (Feb, May, Aug, Nov)	Full re-score of holdings and the pool · update thesis cards · X2, X3, X7 decisions
Every January	Parameter review and change log · glide-path steps · what worked and what didn’t

Decisions use a two-person rule: one person writes the thesis card, another signs it off. If they disagree, there is no trade. The portfolio manager has the final say.

10 Open decisions

ID	Decision	Options	Used until decided
D1	Money the rules cannot place (fewer than 15 qualifiers, or a RED light)	Hold as cash · add to INDY up to one-third of the growth money	Hold as cash
D2	Stop style	Fixed stop below cost (current) · quarterly ratchet (raise each quarter, never lower) · trailing stop	Fixed stop below cost
D3	How the 2033–2036 payments are covered	Saved interest + IBTO/IBTP/IBTQ in 2028 (planning model) · Treasuries maturing Feb 2031	Planning model
D4	Minimum share price	$3 (WInS Session Rules) · $5 (weekly emails)	$3
D5	Bond ladder detail	Load the 6 bonds and quantities from WInS	Load from WInS

11 For the terminal build

Everything in this document is also in config/qvm_strategy.json in the project repository, so the terminal can load it directly.

Module	Does	Output / alert
Data feed	Daily prices, 200-day averages, returns, fundamentals, FX, 10-year Treasury, SPY; converts to USD	Data-gap flags (no data, no trade)
Screener + gate	Universe rules and G1–G5	Pass/fail per gate per company
Scorer	Percentiles, pillars, QVM, expected return, volatility class	Ranked table
Entry checker	E1–E4 with live price and market light	BUY / WAIT / REJECT / WATCHLIST with the failing rule
Sizer	Shares from growth money, stop %, price, light and results date	Order ticket (shares, type, limit, tranche)
Limits monitor	Position, sector, industry, theme and count limits	Blocks an order that would break a limit
Note builder	Trading note under 300 characters from the pattern	Note text and stop price after the fill
Stop manager	Stop price per position; replace after a second half	“Place / replace stop” tasks
Exit monitor	X1–X8: daily, month-end (X5) and quarterly (X2, X3, X7)	Sell alerts with the rule ID
Market light	SPY vs 200-day average, daily and month-end; Phase 1 or 2	GREEN / YELLOW / RED and buying limits
Calendar + change log	Review dates, 2028 and glide-path dates; parameter edits inside allowed ranges	Reminders; change log